

# The Role of Logistics Network and Suppliers in Terrorism Financing



Strategic Intelligence & Coordination Department.  
Nigerian Financial Intelligence Unit.  
(NFIU)



Heat map showing states affected by terrorism in Northern Nigeria

The report highlights the critical role that logistics networks and suppliers play in providing support to different terrorist groups in Nigeria; it examines the mode of operation, preferred automobile, and the businesses exploited

February, 2025

## Contents

|                                                                                                     |           |
|-----------------------------------------------------------------------------------------------------|-----------|
| <b>Introduction.....</b>                                                                            | <b>2</b>  |
| <b>Terrorism and Terrorism Financing in Nigeria.....</b>                                            | <b>3</b>  |
| <b>Report Objectives .....</b>                                                                      | <b>3</b>  |
| <b>Methodology.....</b>                                                                             | <b>4</b>  |
| <b>Legal and Regulatory framework.....</b>                                                          | <b>4</b>  |
| <b>Conceptual Clarification:.....</b>                                                               | <b>5</b>  |
| <b>Logistics Network .....</b>                                                                      | <b>5</b>  |
| <b>Logistics Suppliers .....</b>                                                                    | <b>5</b>  |
| <b>Why do Terrorists Use Logistics network to Carry Out their Heinous Acts? .....</b>               | <b>5</b>  |
| <b>The Use of Motorcycles in Terrorists’ Activities.....</b>                                        | <b>6</b>  |
| <b>The use of Haulage Vehicles in Concealment of Goods for Terrorists .....</b>                     | <b>7</b>  |
| <b>Case Studies Demonstrating Various Medium of Supplies to Terrorists .....</b>                    | <b>8</b>  |
| <b>Case study 1: The use of business Vehicle to supply logistics to Boko Haram Terrorists .....</b> | <b>8</b>  |
| <b>Case study 2: Supply of licit and illicit goods to terrorists by local supporter.....</b>        | <b>9</b>  |
| <b>Case study 3: The use of Truck to conceal arms.....</b>                                          | <b>9</b>  |
| <b>Case Study 5: Logistic Supply Chain in Boko Haram Operations .....</b>                           | <b>11</b> |
| <b>Case Study 6: Disruption of a Key Logistics Channel for Boko Haram .....</b>                     | <b>11</b> |
| <b>Case Study 7: Inter-State Logistics Support for Terrorist Operations .....</b>                   | <b>12</b> |
| <b>General Terrorism Financing Vulnerabilities for logistic network. ....</b>                       | <b>12</b> |
| <b>Terrorism Financing Vulnerabilities deduced from the case studies .....</b>                      | <b>13</b> |
| <b>Conclusion .....</b>                                                                             | <b>14</b> |
| <b>Recommendations .....</b>                                                                        | <b>14</b> |
| <b>References .....</b>                                                                             | <b>16</b> |

## Introduction

Terrorism has become a growing concern for Nigeria, which has witnessed an increasing number of attacks by terrorist groups. Terrorist organizations vary in nature and purpose, but they all require resources to finance, sustain and facilitate various types of attacks. Terrorist financing (TF) encompasses complex financing structures used to conduct large scale attacks, or simpler models used to support small cells and fund smaller attacks.<sup>1</sup> While terrorist groups designated in Nigeria, such as ISWAP, Boko Haram, the Indigenous People of Biafra (IPOB), Yan Bindiga, Yan Ta'adda, and various armed factions, continue to pose a security challenge through attacks including killings, destruction of property, and kidnappings, enhanced security measures and counterterrorism efforts have significantly mitigated their impact, improving stability in affected regions.

To address terrorism and its financing in Nigeria, the Terrorism (Prevention and Prohibition) Act 2022 (TPPA) was enacted. Section 84 imposes requirements on Financial Institutions (FIs) and Designated Non-Financial Businesses and Professions (DNFBPs) to promptly report any suspicious transactions to the Nigerian Financial Intelligence Unit (NFIU), ensuring they do not inadvertently conceal or transfer funds related to terrorism.

In its efforts to strengthen the existing system for combating the funding of terrorism, the NFIU leverages on section 3(1)(I) which mandates the Unit to advise the Government, law enforcement agencies, security agencies, supervisory authorities, and reporting institutions on the prevention of the financing of terrorism and associated predicate offenses to issue this report.

In Nigeria, the logistical infrastructure is crucial for economic growth and development, enabling the efficient movement of goods and services across the nation. However, this vital network also presents significant vulnerabilities that is being exploited by terrorist organizations for their operations and financing. Therefore, it is imperative to understand how individuals and groups exploit legitimate businesses such as commercial transportation and the movement of goods and services, to facilitate terrorism.

By analyzing how logistics networks are being misused for nefarious purposes, the report highlights key areas for intervention to address vulnerabilities, which is essential for improving national security and fostering a more resilient and transparent logistics channels that meets global anti-terrorism standards.

<sup>1</sup>[https://www.giaba.org/Frame/pdfviewer%7C%7C%129358cee441d8d957d394342a35d6b935014783e9ac2c72f7f3e383ab9df5%7C%7C1023\\_Terrorist-Financing-West-Central-Africa.pdf](https://www.giaba.org/Frame/pdfviewer%7C%7C%129358cee441d8d957d394342a35d6b935014783e9ac2c72f7f3e383ab9df5%7C%7C1023_Terrorist-Financing-West-Central-Africa.pdf)

## Terrorism and Terrorism Financing in Nigeria

The Global Terrorism Index 2024 (GTI) highlights that terrorism remains a serious global threat, with total deaths from terrorism rising 22% to 8,352 in 2023, the highest number since 2017. Even without the October 7, 2023 attacks in Israel, the number of global fatalities would still have increased by 5%. This is despite terrorist incidents decreasing by 22% to 3,350, resulting in a 56% increase in the average number of people killed per attack. This is the worst rate in almost ten years.<sup>2</sup>

In 2023, Nigeria witnessed an increase in terrorist activities marking its first rise in three years. Total terrorism-related deaths surged by 34% to 524, the highest since 2020, largely due to escalating conflicts between ISWAP and Boko Haram. If these inter-group conflicts were excluded, overall terrorism deaths would have dropped by 18%. Civilians were the primary targets, suffering in over a quarter of attacks, while military and law enforcement personnel were also significantly affected.

The National Inherent Risk Assessment of TF in Nigeria revealed that the Islamic State in West African Province (ISWAP), Boko Haram (BH) and Yan Bindiga and Yan Tadda are the most significant of the terrorist groups identified and are most active in the Northern part of Nigeria, while Indigenous People of Biafra (IPOB) is most active in the South Eastern part of the country. Several mutually reinforcing factors aide the capacity of these terrorist actors to operate in their most active regions, including porous borders and difficult terrain, arms and weapons trafficking, presence of illegal mining activities, poverty, unemployment and extreme inequality<sup>3</sup>.

## Report Objectives

The primary purpose of this report is to:

- ❖ understand how terrorist transport their basic supplies/ goods and services based on practical cases intercepted by law enforcement agencies.
- ❖ assess vulnerabilities within the logistics segment that could be exploited for terrorist operations or financing activities.
- ❖ encourage FIs and DNFBPs to improve their reporting of suspicious transactions and activities.

<sup>2</sup> <https://www.economicsandpeace.org/wp-content/uploads/2024/02/GTI-2024-web-290224.pdf>

<sup>3</sup> National Inherent Risk Assessment of Money Laundering of Terrorist Financing in Nigeria <https://www.nfiu.gov.ng/NiraReports>

- ❖ promote collaboration between law enforcement, intelligence agencies, and the general public to share information and enhance collective response capabilities; and
- ❖ support national security objectives by identifying and addressing the role of logistics network in facilitating terrorism financing, thereby aiding in the prevention of terrorist activities in Nigeria

### **Methodology**

This report is primarily based on qualitative data from the law enforcement and security agencies that are saddled with the responsibility of fighting terrorism and terrorist financing in Nigeria. It also employed data from open sources.

It examines the role of logistic network with a specific focus on those transporters and individuals that engage in movement of people and goods from one place to another in facilitating terrorism and financing terrorist activities. Through these collaborators, terrorist groups can covertly transport goods, funds, and sometimes even personnel, using logistics channels. This analysis highlights patterns observed in different cases, linking them to broader financing and operational support structures that sustain terrorist activities, with haulage vehicles and suppliers playing a crucial role in this network.

The study provides a preliminary overview of the witting/unwitting role played by sympathizers and accomplices in facilitating terrorism in Nigeria. The study is also focused on terrorism that takes place in Northern Nigeria. The terrorism financing vulnerabilities are deduced based on the case studies presented in the report.

### **Legal and Regulatory framework**

The frameworks in Nigeria have not taken into cognizance of the threat of terrorism financing through their service delivery, some of the provisions for offences does not include terrorists' activities. Below are some of the legal instruments regulating the operations of logistics network in Nigeria;

#### **❖ Nigeria Postal service Act (NIPOST) 2004**

The primary legislation in charge of courier services in Nigeria is the NIPOST Act 2004 that is responsible for licensing, monitoring and enforcement surrounding the activities of courier services and transportation companies in Nigeria.

#### **❖ Courier and Logistics Regulations 2020**

This is made pursuant to the NIPOST Act, 2004. The objective of the Regulations is to “provide a regulatory framework for effective and efficient Courier and

Logistic Services licensing processes and procedures and the regulation of the Courier and Logistics industry in Nigeria.

### ❖ **National Transport Policy**

The fundamental goal of this National Transport Policy is to develop an adequate, safe, environmentally sound, efficient and affordable integrated transport system within the framework of a progressive and competitive market economy.

### **Conceptual Clarification:**

#### **Logistics Network**

A logistics network is a system that coordinates the movement of goods between suppliers, manufacturers, wholesalers, retailers and consumers. In particular, a logistics network directly or indirectly manages the transportation, warehousing and distribution of products from point of manufacture to end user.<sup>4</sup>

In the context of this report, logistic network includes those involve in haulage transportation using vehicles such as trucks, lorries, cars to transport goods from one location to another in Nigeria. It also includes bike riders involved in transporting goods and people, popularly known as “Okada riders”

Law enforcement agencies have discovered instances where trucks used for transporting goods were involved in the concealment of items that are used in aiding terrorist activities. Motorcycles used for mobility were involved in aiding their activities and passenger vehicles were involved in transporting basic supplies to terrorists in their enclave.

#### **Logistics Suppliers**

In the fight against terrorism in Nigeria, the law enforcement agencies refer to the term logistic suppliers as those non state actors that transport basic supplies to terrorists such as food, drink, fuel, services such as money transfers through Point of sales (POS), transportation, medical services etc. Therefore, the term logistics suppliers in the context of this study are those individuals that engage in providing any assistance that aid terrorists in their operations.

#### **Why do Terrorists Use Logistics network to Carry Out their Heinous Acts?**

Terrorists and bandits' groups in Nigeria exploit logistics network as a means to support their activities because these services offer essential capabilities and

<sup>4</sup> <https://www.thebrimichgroup.com/what-is-a-logistics-network/>

infrastructure that can facilitate mobility, supply chains, and the element of disguise needed to operate under the radar. Some of the reasons are highlighted below:

- ❖ **Concealment of Activities:** haulage vehicles often operate with a high volume of traffic, making it easier for terrorist groups to blend in and mask their movement of weapons, supplies, or personnel. Using these legitimate supply channels helps them avoid detection by security agencies.
- ❖ **Access to Transportation Networks:** Many haulage vehicles have established transportation networks that cover vast regions. Terrorist groups leverage these routes to reach remote or high-risk areas that may otherwise be challenging to access.
- ❖ **Minimized Suspicion:** Vehicles often travel across multiple regions without raising much suspicion, as they are seen as part of everyday commerce. By using logistics trucks or distribution routes, terrorists move goods without easily arousing the attention of law enforcement.
- ❖ **Supply Chain Efficiency:** haulage vehicles are designed for efficient transportation and delivery, which can be useful for the quick mobilization of resources like food, weapons, and other essentials. This efficiency strengthens a terrorist group's supply chain, helping them to sustain prolonged operations.
- ❖ **Network and Intelligence:** Some haulage vehicles are local, with staff who have valuable knowledge about terrain, local cultures, and customs. Terrorist groups may seek to coerce or bribe these transporters to gather intelligence or guide them through territories they don't know as well.
- ❖ **Exploitation of Weak Regulatory Oversight:** In some parts of Nigeria, regulatory oversight is limited, especially in remote or conflict-prone areas. Terrorists exploit this weakness to work with logistics providers who may not enforce stringent checks on their clients or cargo.

### **The Use of Motorcycles in Terrorists' Activities**

Terrorists in Nigeria use motorcycles in various ways; they commit their activities while riding on motorcycles, they collect ransom in the form of motorcycles, they transport kidnap victims on motorcycles, and their logistics are provided with the help of motorcycles.

It is these motorcycles that connect the armed bandits from the forests to the farms, markets, schools, hospitals, villages and highways where they kidnap residents and loot resources. Arms and ammunition are also transported through the vast Sahelian forests by motorcycles. Without them, the armed

bandits would operate much less effectively: they use them because of the ease of movement, they can move in and out of town easily. Motorcycles can also travel on poor-quality roads better than cars, especially in the northwest geopolitical zone where infrastructure is lacking. The motorcycle therefore serves as a vital weapon for bandits, akin to arms and ammunition.<sup>5</sup>

For instance, on September 1, 2024, more than 50 Boko Haram terrorists on motorcycles rode into a village in Tarmuwa council area of Yobe state in northeastern Nigeria and started shooting, killing at least 100 people and setting buildings ablaze. Local media reported that the extremists claimed responsibility for the attack, saying it was in retaliation for villagers informing security operatives about their activities. Several Boko Haram members were killed as a result of the information passed on by villagers, the militants were quoted as saying.<sup>6</sup>

Recently, the Borno state government has reiterated the ban on motorcycles which has been in existence for over a decade, the Borno police has directed that filling stations should stop selling petroleum products to motorcycles. The statement partly read, "The command has observed the flagrant use of motorcycles, especially electrical bikes, in the state, and wishes to remind the general public that the ban on motorcycles in the state still subsists. The decision was taken at the Borno State Security Council based on the security challenges in the state. Members of the public are further advised to adhere to this order. Any person found in possession of electric or petrol-powered motorbikes will be arrested for violating the order. Filling stations are equally warned, to desist from selling petrol products to customers on motorcycles. Any filling station found selling petrol to motorcyclists will be sanctioned and sealed for prosecution."<sup>7</sup>

### **The use of Haulage Vehicles in Concealment of Goods for Terrorists**

In addition to the use of motorcycles, terrorists also use haulage vehicles that are involved in day-to-day transportation of goods from one point to another to conceal some of their supplies. These goods may be basic food supplies or illicit goods such as drugs, arms, and ammunition, etc.

In one instance, at a press briefing on 17<sup>th</sup> July 2023 by the Ag Comptroller General of Nigeria Customs Service, Bashir Adeniyi, he stated that during a routine Patrol along Owode/Ajilete Axis of Ogun State by Officers of the Joint Border Patrol Team Sector 2, on Wednesday 12 July 2023, intercepted an unregistered Toyota Camry loaded with six sacks of charcoal, which was used to conceal three (3) pump action rifles with 174 live cartridges. The Customs Boss revealed.

<sup>5</sup> <https://openresearch.ceu.edu/server/api/core/bitstreams/5acaf4db-dc29-428e-9af7-8e81d377c612/content>

<sup>6</sup> <https://www.dailysabah.com/world/africa/bike-riding-boko-haram-terrorists-kill-over-100-in-nigerian-village>

<sup>7</sup> <https://punchng.com/stop-selling-petrol-to-motorcyclists-police-direct-borno-filling-stations/>

"The driver of the vehicle who knew the content he was conveying vis-a-vis the attendant consequences of his action before the law; jumped into the bush and escaped arrest".

Also, in the first quarter of 2022, while briefing newsmen, the Nigeria customs controller of Adamawa and Taraba command stated that they made forty seizures in different operations. Among the items seized were 1,700 urea bags of fertilizer being transported for onward delivery to Boko Haram terrorists operating along the Nigeria - Cameroon border.<sup>8</sup>

In a study by Aljazeera, it was stated that Boko Haram's arms smugglers sometimes conceal Small Arms and Light Weapons in bags of grains or cartons of good which are often loaded on heavy-duty vehicles like trucks, trailers, and lorries. This is usually adopted when transporting arms from one community, town, and state to another. Such arms can also be wrapped in polythene bags and stocked into empty fuel tankers or sewage tankers for long-distance transfer.<sup>9</sup>

### **Case Studies Demonstrating Various Medium of Supplies to Terrorists**

#### **Case study 1: The use of business Vehicle to supply logistics to Boko Haram Terrorists**

During a joint operation by military and security agencies in Maiduguri on activities of Boko Haram Terrorists (BHT), one of the suspects arrested, MR HAT was confirmed to have links with the terrorists by hiding under his legitimate trade in conveying firewood for sale to supply the terrorists with petroleum motor spirit (PMS). For every trip to the bush to fetch his firewood, he supplies terrorists with a gallon of PMS. The terrorists use the PMS to power their generator and fuel vehicles/motorcycles used to carry out attacks on soft and military targets.

The proceeds generated from his commercial driving activities and sales of firewood to the public are used to purchase PMS supplied to the terrorists. On some occasions, the suspect uses his vehicle to deliver/sell firewood on behalf of the terrorists for profit.

BHT later recruited MR HAT to receive funds from the firewood area where he operates and delivers to persons as instructed. Additionally, he receives directives to visit specific locations where weapons are hidden to pick them up for the terrorist group. In a particular occasion, he was given the sum of

<sup>8</sup> <https://www.youtube.com/watch?v=c18ATvXPkh4>

<sup>9</sup> <https://studies.aljazeera.net/en/reports/2013/09/201398104245877469.html>

N60,000 by one of the terrorist commanders to deliver to a location and he enquired on the purpose, the commander informed him that the recipient was aware of the purpose.

The investigation established that BIS collaborates with BHT for monetary gains. Also, communications intercepted established activities of the suspect are willful and with knowledge of the underlying activities. Mr HAT was convicted on 2 counts for rendering support and terrorism financing respectively.

**Source: Nigerian Law Enforcement Agencies**

### **Case study 2: Supply of licit and illicit goods to terrorists by local supporter**

A joint taskforce arrested an identified subject as a Boko Haram/ISWAP Collaborator. Investigation revealed that the subject willingly participated in rendering support to the group as a sympathizer. The investigation established links between the subject and members of the terrorist group.

The subject was engaged by a Boko haram member while he was working on his farmland where they exchanged contacts. The subject was first contacted to provide Airtel recharge cards and tramadol tablets. Then he was instructed to drop the recharge cards and tablets at a location and pick up his money which was hidden in the same location. This had continued for a long period and for several other products/goods.

Furthermore, investigation established that the suspect received N200,000 from the group to purchase army uniforms but he was unable to purchase it because of roadblocks set up by the military. The group sent repeated demands but he was not able to deliver. This was his last assignment for the group before his arrest.

The subject was convicted for the offence of Terrorist Financing and sentenced to 17 years imprisonment

**Source: Nigerian Law Enforcement Agencies**

### **Case study 3: The use of Truck to conceal arms.**

In 2020, the operatives of the Federal Operation Unit of the Nigeria Customs Service in Kebbi State intercepted a suspicious-looking truck. The spokesperson for the NCS, said when the lorry was examined, they found that it was loaded with locally-produced rice and some sacks concealed under the bags of rice. On further examination, the sacks were found to contain 73 locally manufactured guns and 891 cartridges.

In 2003, members of the NCS special anti-smuggling squad intercepted a lorry carrying illegal goods, noting that the smugglers abandoned the lorry and fled into the bush when they spotted a roadblock set up by the service's men on the road between Lagos and Benin City. Searching the lorry, they discovered

that 170,000 live bullets were hidden under empty cartons of beer and heaps of charcoal which was smuggled into Nigeria through nearby creeks leading to the Atlantic coast near Lagos.

In January 2017, a Federal Operations Unit Squad of the NCS, intercepted a truck in Lagos that had already been cleared by customs at the Tin Can Island ports as having “steel doors” in the 40-foot container it was carrying. However, when it was thoroughly inspected, it turned out that the truck was carrying 661 rifles.

**Source: Punch Newspaper<sup>10</sup>**

#### **Case study 4: The role of accomplices in logistics supply**

On June 5, 2024, the Nigerian Police Force had a special joint operation which comprises of the NPF in collaboration with the Nigeria Army, Department of State Service and the vigilantes which carried out a joint operation at Gidan Dogo forest, Kweri forest in Kaduna state, and Gauraka hills in Niger state which led to the dislodgement of bandit camps and arrest of suspected bandits/informants and logistics suppliers carrying out criminal activities around those axis/jurisdictions.

The operation led to the arrest of one Amu IB, an okada (motorcycle) rider who acted as a logistics supplier for a group of bandits. He was identified as a cousin to a wanted bandit. The suspect provided essential supplies to the bandit camp located in Gidan Dogo. For each food delivery, he received payment of N10,000. During his confession, he admitted to regularly supplying food and other logistics to the bandits in their hideout, highlighting how trusted local connections and financial incentives can facilitate support for criminal operations in remote locations. This case underscores the role of community members in sustaining bandit activities through logistical support.

SD Mardi, a 35-year-old man from Niger State, played a significant role as an informant and logistics supplier for a notorious kidnappers group hiding in the Gidan Dogo forest, Kaduna State. Mardi admitted to facilitating both cash and digital transfers (using POS transactions) on behalf of the kidnappers, distributing approximately 16 million naira to their associates and families. For his efforts, he received 250,000 naira as compensation. In addition to handling finances, Mardi provided essential supplies, including food and other logistics, directly to the bandits. He also reportedly guided specific individuals to the kidnappers' camp, including suspected physicians and female visitors, who were possibly associated with the group members. The group he assisted was led by an individual known only as "Ardo," along with other members. Mardi observed that the kidnappers were fond of using police and military uniforms while heavily armed, adding a layer of intimidation and deception to their

<sup>10</sup> <https://punchng.com/merchants-of-death-tactics-criminals-use-to-smuggle-firearms-into-nigeria/>

operations. Mardi's confessions highlight the critical support logistics suppliers provide to such criminal networks, facilitating their operational continuity and shielding them from detection.

Miss RI, a 41-year-old woman from Gwagwalada, Abuja, who was arrested alongside Abube, an okada (Motorcycle) rider who was transporting her as she was attempting to deliver food supplies to two known kidnappers named ABC and XYZ. She claimed to have believed ABC was a "repented kidnapper" who had quit criminal activities. When he called her for assistance with food supplies on June 7, 2024, she agreed, believing he was no longer involved in kidnapping. However, police arrested her en route to delivering the food after ABC redirected her to a second location. Despite her assertion that she did not know he was still involved in crime, her role as a logistics supplier contributed to sustaining the kidnappers' needs.

**Source: Nigeria Police Force**

### **Case Study 5: Logistic Supply Chain in Boko Haram Operations**

**Incident Summary:** In a coordinated offensive on September 7, 2023, Nigerian Army troops, in collaboration with Hybrid Force, targeted Boko Haram's logistics network in Gwoza, Borno State. The operation led to the neutralization of three terrorists and the capture of five logistics suppliers transporting cash and critical food supplies, revealing the reliance of terrorist groups on logistical networks to sustain their presence in Northeast Nigeria.

**Role of Logistics Suppliers:** The captured suppliers were found carrying 14 bags of rice, 11 bags of biscuits, 46 bags of corn flour, and N3,186,000 in cash—critical resources for Boko Haram's operations. This case highlights the suppliers' role in financing and sustaining terrorist activities, as they transport food, weapons, and funds needed by combatants in remote areas.

**Source: Punch Newspaper<sup>11</sup>**

### **Case Study 6: Disruption of a Key Logistics Channel for Boko Haram**

**Incident Summary:** The MNJTF apprehended Buda, a long-wanted logistics supplier for Boko Haram, disrupting a significant supply chain for the terrorist group in the Lake Chad region. Following a coordinated intelligence operation involving surveillance and human intelligence. He was intercepted in Monguno town while on transit, his arrest curtailed essential logistical support that supplied food, information, and resources to Boko Haram cells.

<sup>11</sup> <https://punchng.com/troops-arrest-terrorists-logistics-suppliers-with-n3m/>

**Role of Logistics Suppliers:** The arrest illustrates the strategic importance of logistics networks in terrorist financing, as non-combatant facilitators like Buda play a crucial role in procuring and delivering goods and services that directly sustain terrorist operations. Without these suppliers, groups like Boko Haram face challenges in maintaining operational continuity, underscoring the vulnerability of terrorism networks when logistical channels are disrupted.

**Source: Channels TV<sup>12</sup>**

### **Case Study 7: Inter-State Logistics Support for Terrorist Operations**

**Incident Summary:** Nigerian Army troops from the 6 Brigade and Operation Whirl Stroke (OPWS) arrested three suspected bandits and a logistics supplier in Taraba State. This operation, part of an effort to target inter-state logistics channels, revealed how logistics suppliers facilitate terrorism across state borders. Additionally, Musa Inusa, a key supplier, was found providing critical supplies to a terrorist group in Taraba.

**Role of Logistics Suppliers:** This case underscores how logistics suppliers bolster terrorist groups' operations by ensuring consistent supplies and movement of resources, even across state boundaries. Logistics channels like those operated by Inusa help terrorists maintain operational capabilities, access supplies, and expand their area of influence, reflecting the crucial role of logistics suppliers in the financial and operational structure of terrorism networks.

**Source: Daily Trust<sup>13</sup>**

### **General Terrorism Financing Vulnerabilities for logistic network.**

#### **1. Smuggling of arms and ammunition**

Terrorist groups such as Boko Haram and Islamic State West Africa Province (ISWAP) rely on smuggled weapons for their operations. Some haulage vehicles, especially those involved in cross-border trade, are used to transport arms, sometimes disguised as legitimate goods.

#### **2. Transporting Illicit Cash and Valuables**

Nigeria's largely cash-based economy offers an avenue for the physical transportation of funds. Cash-based transactions allow terrorist financiers

<sup>12</sup> <https://www.channelstv.com/2024/09/27/army-apprehends-wanted-boko-haram-logistics-supplier-in-borno-2/>

<sup>13</sup> <https://dailytrust.com/troops-arrest-terrorists-logistics-supplier-in-taraba/>

to move resources with minimal scrutiny. Especially people that live in rural communities where there is little presence of financial institutions.

### 3. Use of fraudulent or misleading documentation

Terrorist groups and organized crime syndicates exploit gaps in some companies by using false documentation. Some haulage vehicles do not thoroughly verify cargo, which inadvertently results in them aiding the transport of materials that support terrorist activities, such as chemical precursors for explosives or other banned substances.

### Terrorism Financing Vulnerabilities deduced from the case studies

1. **The use of legitimate trade routes:** terrorists in Nigeria are exploiting the normal routes in conducting day-to-day business activities to transport the necessary goods and services needed to sustain their survival in their hideouts.
2. **The use of commercial transport systems:** several case studies have shown that the terrorists also use the available modes of transportation available within the local communities to supply their logistics, especially the use of motorcycle riders, who can navigate through unmotorable roads to deliver resources.
3. **The use of women:** the role women play in the supply of food to terrorists was highlighted. The women usually feign ignorance of what the kidnappers' occupation is, but navigate secretly to supply the criminals with all the logistics they require. They are also taking advantage of Islamic principle in northern Nigeria, where a male cannot touch a female that he is not related to, thereby limiting the search on them at security checkpoints.
4. **The use of local business owners:** terrorists operating within a particular region also engage the services of locals to support their activities, which may include PoS operators, food sellers, drivers of commercial vehicles, etc. These individuals may not necessarily raise any suspicion around their activities because they are trusted.
5. **Illiteracy and poverty:** terrorists are exploiting the fact that so many people that live in the rural and remote communities in northern Nigeria are poor and uneducated; they usually offer them little commissions from the illicit funds they acquired to ensure that they continue to support their nefarious activities.

## Conclusion

The study attempted to demonstrate the role that different individuals and businesses play in financing terrorism in Nigeria. It provided the pattern of operations, the method of transportation, and the types of goods and services employed by terrorist groups to sustain their activities.

Transportation plays a critical role in the economy by facilitating the movement of goods and services across various regions. Unfortunately, some vehicles knowingly or unknowingly contribute to financing terrorism. Nigeria's security challenges, particularly the insurgency in the Northeast, North west, and organized crime networks across North central, create vulnerabilities that terrorist groups exploit within logistics and supply chain networks.

The case studies have shown that most of the logistics suppliers carry out the services willingly for a fee. It was also noted that the neighbouring villagers where terrorism occurs are inadvertently involved in terrorism financing, either by the presence of markets, a teeming population of unemployed youths, or business operators. The use of motorcycles as preferred means of transportation for the survival of terrorist activities was also discussed.

Therefore, there is a need for law enforcement and security agencies to increase their efforts in order to identify and disrupt the network of these terrorists and their allies.

## Recommendations

### **Recommendation to law enforcement & security agencies**

- ❖ They should collaborate more effectively with each other and share intelligence on related cases of terrorism.
- ❖ They should train their personnel on how to stop and search suspicious vehicles.
- ❖ They should profile and watchlist subjects that were previously investigated based on the modus operandi presented in the case studies.
- ❖ They should build a trust relationship with local communities so that they can have informants that will periodically update them on the movements of terrorists and their collaborators.
- ❖ There should be continuous training for personnel on the current trends and methods employed by terrorists and their supporters.
- ❖ More women should be encouraged to join the law enforcement and security agencies in Nigeria so that when the need arises for gender-related issues, arrest of female suspects, body searches, access to private houses, etc, they will carry out such roles.

### **Recommendation to reporting entities**

- ❖ Financial institutions should scrutinize transactions from cash-intensive businesses such as POS operators, food sellers, supermarkets, etc. in order to identify suspicious transactions.
- ❖ Designated non-financial businesses and professionals' self-regulatory bodies should ensure that their members are not exploited for terrorism activities through enlightenment and sensitizations.
- ❖ Reporting entities should also scrutinize transactions emanating from areas with high risk of terrorist activities for identification and reporting of STRs.
- ❖ They should continue to collaborate with NFIU to provide guidance on emerging threats to Nigeria's financial system.

### **Recommendation to NFIU**

- ❖ The NFIU should issue an advisory to all the relevant government agencies and self-regulatory authorities on the terrorism threat to transport/logistics sector in Nigeria.
- ❖ The NFIU should ensure that the logistics sector is under the AML/CFT radar and encourage them to implement of AML/CFT measures.
- ❖ The NFIU should ensure that the sectoral risk assessment is conducted on the transport/logistics sector.
- ❖ The NFIU should sustain its efforts in the identification of emerging threats and methods employed by criminals.
- ❖ The NFIU should provide guidance to reporting entities on how to identify and report STRs on a crime-by-crime basis.
- ❖ NFIU analysts should expand their knowledge on emerging crimes in order to develop actionable intelligence and produce strategic products for guidance to policymakers.

## References

1. GIABA PUBLICATION: Terrorist Financing in West and Central Africa [https://www.giaba.org/Frame/pdfviewer%7C%7Cc129358cee441d8d957d394342a35d6b935014783e9ac2c72f7ff3e383ab9df5%7C%7C1023\\_Terrorist-Financing-West-Central-Africa.pdf](https://www.giaba.org/Frame/pdfviewer%7C%7Cc129358cee441d8d957d394342a35d6b935014783e9ac2c72f7ff3e383ab9df5%7C%7C1023_Terrorist-Financing-West-Central-Africa.pdf)
2. Global terrorism index 2024 <https://reliefweb.int/report/world/global-terrorism-index-2024>
3. National Inherent Risk Assessment of Terrorist Financing in Nigeria Report <https://www.nfiu.gov.ng/NiraReports>
4. Brimich Logistics Inc <https://www.thebrimichgroup.com/what-is-a-logistics-network/>
5. The Mobility of Terror: Motorcycle Bandits, Violence and Anarchy in Nigeria <https://openresearch.ceu.edu/server/api/core/bitstreams/5acaf4db-dc29-428e-9af7-8e81d377c612/content>
6. Daily Sabah <https://www.dailysabah.com/world/africa/bike-riding-boko-haram-terrorists-kill-over-100-in-nigerian-village>
7. Punch Newspaper <https://punchng.com/stop-selling-petrol-to-motorcyclists-police-direct-borno-filling-stations/>
8. You tube Channel <https://www.youtube.com/watch?v=c18ATvXPKh4>
9. Aljazeera News <https://studies.aljazeera.net/en/reports/2013/09/201398104245877469.html>
10. Punch Newspaper <https://punchng.com/merchants-of-death-tactics-criminals-use-to-smuggle-firearms-into-nigeria/>
11. Punch Newspaper <https://punchng.com/troops-arrest-terrorists-logistics-suppliers-with-n3m/>
12. Channels TV <https://www.channelstv.com/2024/09/27/army-apprehends-wanted-boko-haram-logistics-supplier-in-borno-2/>
13. Daily Trust <https://dailytrust.com/troops-arrest-terrorists-logistics-supplier-in-taraba/>